Customer Retention & Churn Analysis Report

Prepared for: Future Interns / Business Stakeholders

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Subject: Strategic Analysis of Telco Subscriber Attrition

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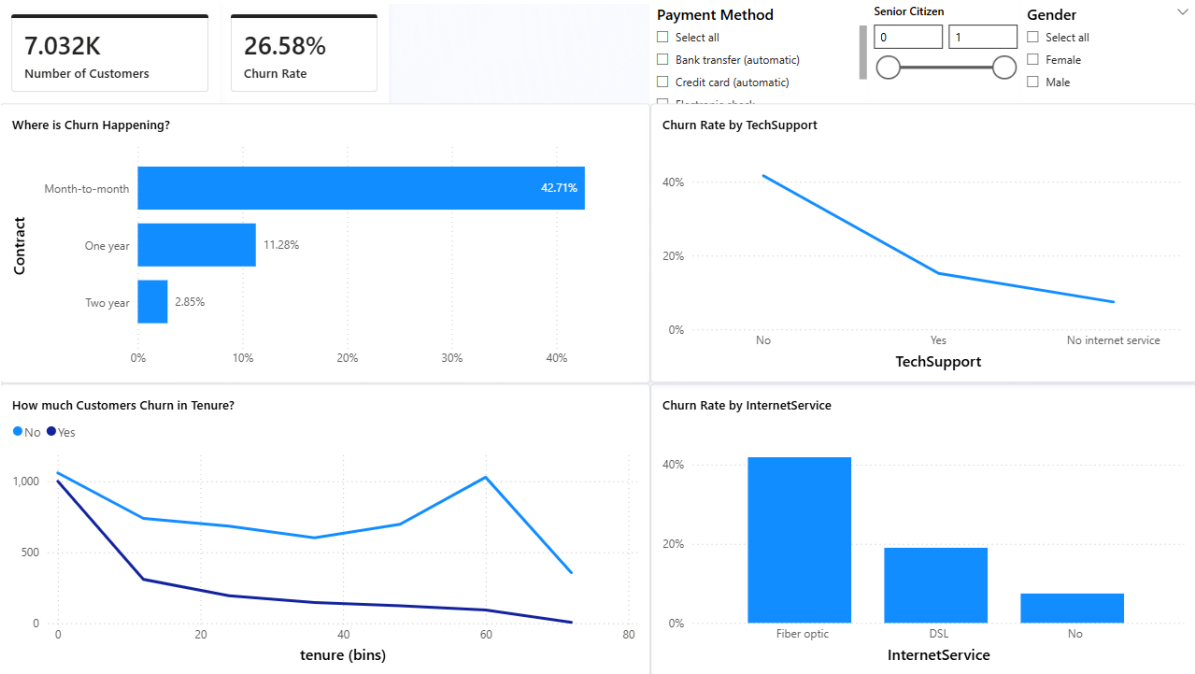


1. Project Objective

The goal of this analysis is to identify why customers are leaving the platform and to provide data-driven recommendations to reduce churn. By analyzing demographic data, service usage, and contract types, we aim to increase Customer Lifetime Value (CLV) and stabilize monthly recurring revenue.

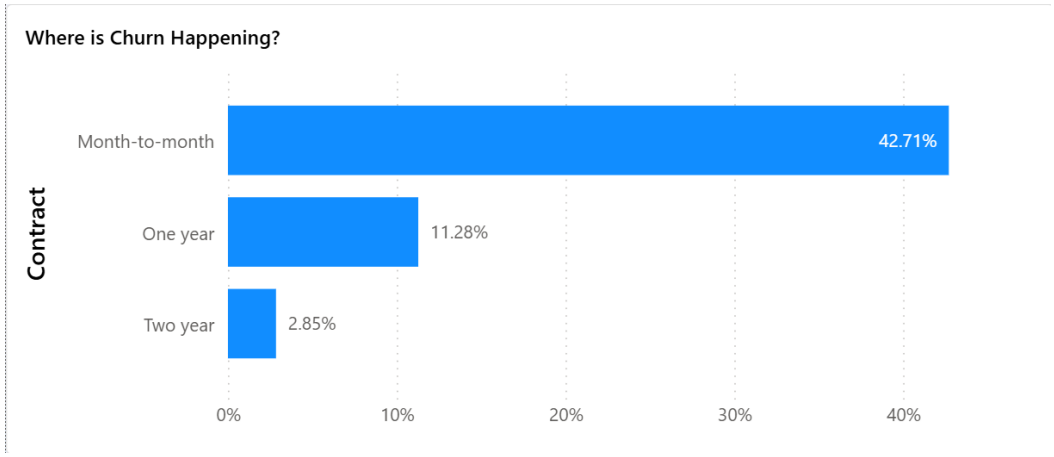
2. Executive Summary

After analyzing 7,032 customer records, the findings indicate an **overall churn rate of 26.5%**. The primary drivers of churn are **Contract Type (Month-to-month)**, **Internet Service Type (Fiber Optic)**, and **High Monthly Charges**. Key retention drivers include technical add-ons like **Online Security** and **Tech Support**, which significantly lower the likelihood of cancellation.

3. Key Insights & Findings

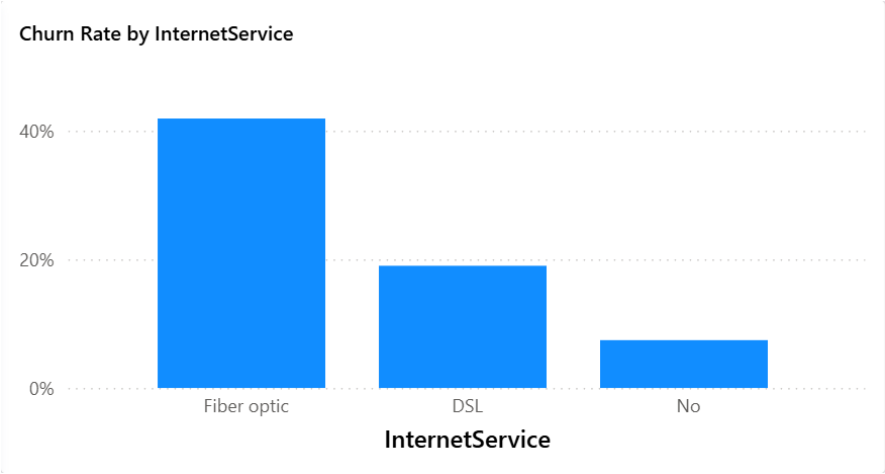
A. The Contract "Commitment Gap"

- **Month-to-month users** exhibit a staggering **42.7% churn rate**.
- In contrast, customers on **Two-year contracts** have a churn rate of only **2.8%**.
- *Insight:* Flexibility is a double-edged sword; while it attracts new users, it offers no barrier to exit.



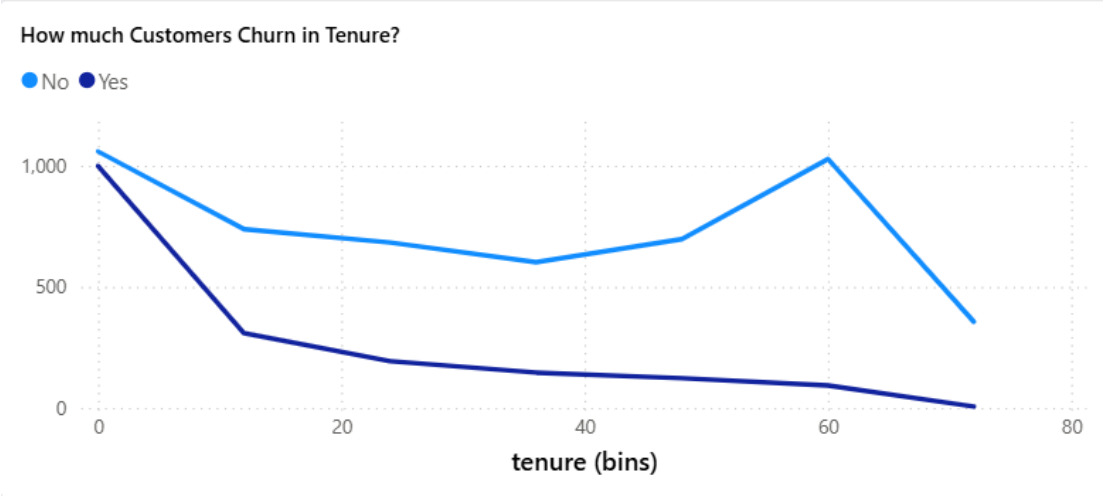
B. Premium Service Friction (Fiber Optic)

- Customers using **Fiber Optic** internet are churning at **41.9%**, more than double the rate of DSL users (19%).
- *Insight:* Fiber Optic is a premium-priced service. High churn here indicates a potential issue with service reliability, installation quality, or aggressive competitor pricing in the fiber market.



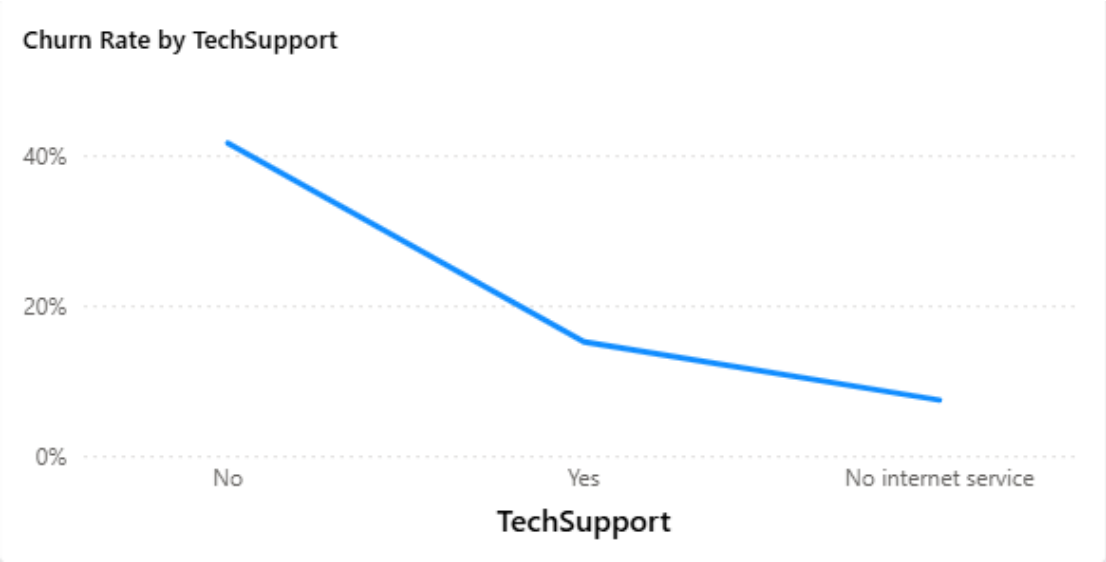
C. The "Safe Zone" Tenure

- Churn is highest in the **first 6 months** of the customer lifecycle.
- If a customer stays past **24 months**, their probability of churning drops by over 60%.
- *Insight:* The "Danger Zone" is early-stage onboarding.



D. Retention Anchors (Tech Support & Security)

- Customers *without* **Tech Support** churn at **41.6%**.
- Customers *with* **Tech Support** churn at only **15.2%**.
- *Insight:* Professional services act as "sticky" features that make it harder for a customer to switch providers.



4. Strategic Recommendations

Based on the data, the following three actions are recommended to reduce churn by an estimated 5-10% over the next two quarters:

1. **Incentivize Long-Term Migration:** Launch a campaign targeting Month-to-month users with high tenure.
    - Offer a "Contract Upgrade Discount" (e.g., $5 off/month for 12 months) to move them to a 1-year agreement.
2. **Fiber Optic Quality Audit:**
    - The Product Team should investigate Fiber Optic performance.
    - Conduct targeted exit surveys specifically for Fiber users to determine if they are switching for a lower price or due to technical outages.
3. **Mandatory "New User" Support Bundle:**
    - Include 3 months of free **Online Security** and **Tech Support** for all new sign-ups.
    - Data shows these features increase loyalty. By the time the free trial ends, the customer is more integrated into the ecosystem.

5. Conclusion

Reducing churn is more cost-effective than acquiring new customers. By focusing on moving customers away from monthly plans and improving the experience of premium Fiber Optic users, the company can significantly improve its bottom line and customer satisfaction levels.